

PLAY ▶

SP 0:00:00

ADJUST THE VCR
TRACKING FOR THE
SHARPEST PICTURE
AVAILABLE

Tick, Tick, Tick. Boom! You're Dead.

Tech & the FTC

Terrell McSweeney
Commissioner
Federal Trade Commission
@TMcSweeneyFTC

Whitney B. Merrill
Attorney & Hacker
@wbm312

FTC



DISCLOSURE

The views expressed do not necessarily reflect the views of the Commission or any individual Commissioner.

-- MENU --

- WHAT IS THE FTC

LOOKING BACK

THE PRESENT

LOOKING FORWARD

Q&A



100 YEARS

Protecting America's Consumers



Federal Trade
Commission Building
600
Pennsylvania
Avenue, NW

-- MENU --

WHAT IS THE FTC

- LOOKING BACK

THE PRESENT

LOOKING FORWARD

Q&A

“It’s standard stuff, it’s
just in a new medium.”

-- FRAUD --

Brian Corzine d/b/a/ Chase Consulting (1994)

- The First Internet Case
- First federal enforcement agency to take such an action



BRANDZEL (1996)

- Mail Order Rule applied to Internet
- "supplying the world" with computer parts
- Offered computer memory chips for sale on Usenet
- Users never received chips

FTC hunts down Internet fraud

The Federal Trade Commission (FTC) last week launched a get-tough approach to Internet fraud, charging nine companies with deceptive advertising practices in their Web or Usenet advertising.

The companies include:

- Wolverine Capital
- DCM Publishing Group
- Simplex Services
- Enterprising Solutions
- Momentum
- NBCD Credit Resource Publishing
- Excel Communications
- Starr Communications

The ninth subject of the FTC roundup, Robert Brandzel of U.S. Telemedia, Inc., is accused of posting ads in the Usenet classifieds for selling computer memory chips but never delivering. Brandzel has apparently fled from Wheeling, Ill., to Arlington, Texas.

—Ellen Messmer

-- DECEPTIVE ADVERTISING --

Site for Sore Eyes, Inc. (1993)

- Protecting the users...eyes
- “PROTECTION FROM UV RAYS TREATMENT:
UV400: UV protective coating will protect your eyes from the harmful rays of the sun as well as from computer screens. UV radiation can cause redness and irritation to the eyes — and can also cause irreversible damage to the retina and cornea. This clear, non-toxic formula protects your eyes by absorbing 99% of all harmful UV rays.”



Hayes Microcomputer Products, Inc. (1994)

- FUD: Tick, Tick, Tick. Boom You're Dead! A time bomb may be lurking inside your modem."

Tick, Tick, Tick. Boom!
You're Dead.

A time bomb may be lurking inside your modem. A fatal flaw that can paralyze the data you're transmitting, causing untold chaos to the flow of accurate data you need.

You see, some modem manufacturers decided to turn their backs on proven modem technology, and on you. They haven't told you about the dangers because the only solution for this crisis is to replace their modems. Fortunately, Hayes® can give you the knowledge to locate the bomb and prevent the purchase of another one.

HOW TO UNCOVER THE BOMB. We've developed a FREE test kit that's extremely easy to run on your PC or Mac. The kit spells out the dangers completely and accurately tracks down their fatally flawed component. To order your FREE kit, just call 800-846-8388, FAX your request to 404-729-6650, or download the test files from the Hayes BBS.

THE ONLY WAY TO BE COMPLETELY PROTECTED. You can protect your data, your company,

and even your job by purchasing modems that incorporate licensed technology from Hayes. Modems using complete solution Rockwell chip sets are licensed as well as most modems of direct licensees of Hayes U.S. Patent 4,549,302. So look for the symbol. It means your modem uses the industry-standard escape sequence technology that has established its reliability for over a decade. Of course, all modems and ISDN products manufactured by Hayes use this technology as well.

The bomb is armed. The clock is ticking. Where will you be after the bomb goes off? Contact Hayes today for your FREE test kit and stop data transmission disaster before it strikes.



Why settle for anything less?
Hayes products have the computer world talking. More than ever.

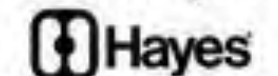
Go On Line with Hayes BBS; call 800-874-2937 or 404-446-6336

©1992 Hayes Microcomputer Products, Inc., P.O. Box 105203, Atlanta, GA 30348

PROTECTED. You can protect your data, your company, disaster before it strikes.

Go On Line with Hayes BBS; call 800-874-2937 or 404-446-6336
©1992 Hayes Microcomputer Products, Inc., P.O. Box 105203, Atlanta, GA 30348

by purchasing corporate licensed Hayes. Modems using complete solution Rockwell chip sets are licensed as well as most modems of direct licensees of Hayes U.S. Patent 4,549,302. So look for the symbol. It means your modem uses the industry-standard escape sequence technology that has established its reliability for over a decade. Of course, all modems and ISDN products manufactured by Hayes use this technology as well. The bomb is armed. The clock is ticking. Where will you be after the bomb goes off? Contact Hayes today for your FREE test kit and stop data transmission disaster before it strikes.



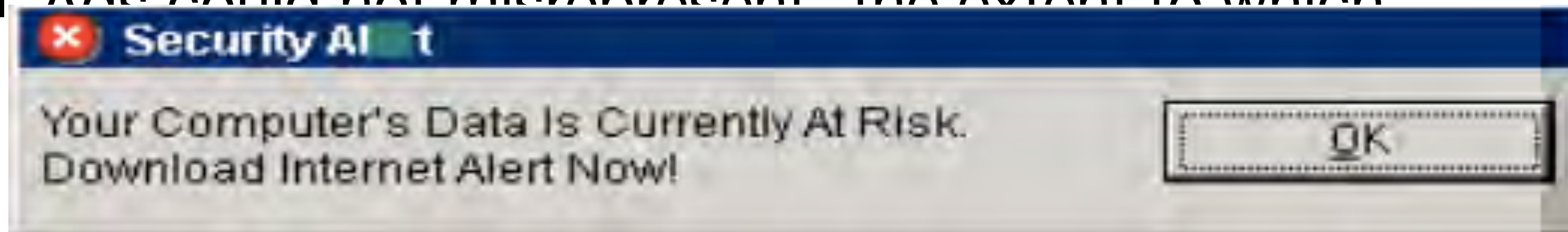
Why settle for anything less?
Hayes products have the computer world talking. More than ever.

“A modem’s failure to incorporate the Improved Escape Sequence with Guard Time does not create a substantial risk of data destruction.”

–FTC Complaint against Hayes Microcomputer

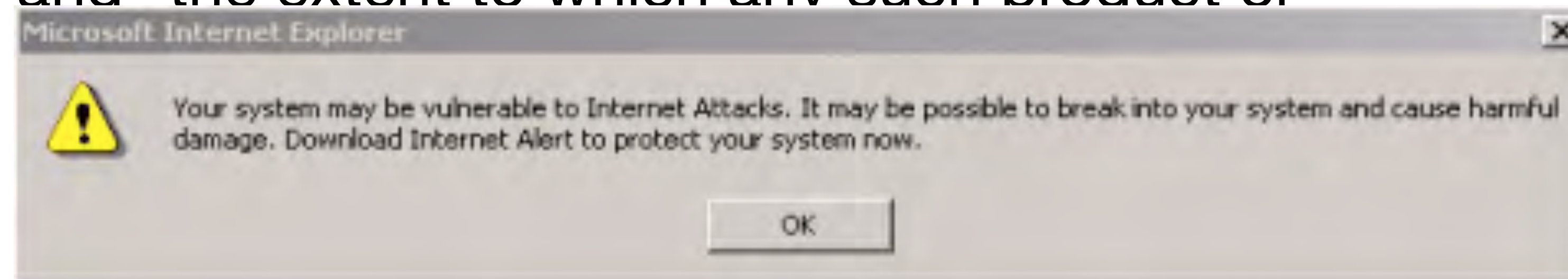
Bonzi Software, Inc. (2004)

- Ads could not misrepresent “the extent to which



such similar system . . .

- and “the extent to which any such product or



system) or any data, that is stored in a computer, or any similar system, including personally identifiable information.”



CyberSpy Software, LLC (2010)

- Spyware
- RemoteSpy “100% undetectable” way to “Spy on Anyone. From Anywhere.”

The screenshot shows the RemoteSpy website with a dark, high-contrast design. At the top, it says "HI-TECH REMOTE SPY SOFTWARE" and "REMOTE SPY" in large, stylized letters. A navigation bar includes links for HOME, FEATURES, PURCHASE, FAQ, SUPPORT, and ABOUT US. Below this, a central banner lists features: "RECORD ALL COMPUTER ACTIVITY FROM ANYWHERE", "NO PHYSICAL INSTALLATION NEEDED", and "SECRETLY RECORD EMAIL, CHAT CONVERSATIONS, INSTANT MESSENGERS & MORE!". To the right of the banner is a circular image of a person's face wearing sunglasses. Below the banner is a login section with fields for "USERS LOGIN HERE", "USERNAME:", "PASSWORD:", and a "LOGIN" button. At the bottom, a large section titled "SPY ON ANYONE. FROM ANYWHERE." contains a paragraph describing the software's capabilities and a circular badge on the right that says "RATED #1 SPY SOFTWARE".

HI-TECH REMOTE SPY SOFTWARE

REMOTE SPY

HOME FEATURES PURCHASE FAQ SUPPORT ABOUT US

RECORD ALL COMPUTER ACTIVITY FROM ANYWHERE
NO PHYSICAL INSTALLATION NEEDED
SECRETLY RECORD EMAIL, CHAT CONVERSATIONS,
INSTANT MESSENGERS & MORE!

USERS LOGIN HERE USERNAME: PASSWORD: LOGIN

SPY ON ANYONE. FROM ANYWHERE.
SECRETLY RECORD EMAIL, CHAT CONVERSATIONS AND OVERALL COMPUTER ACTIVITY REMOTELY!

The most powerful software of it's kind, it's finally here RemoteSpy! Secretly and covertly monitor and record Pc's without the need of physical access. Record keystrokes, screenshots, email, passwords, chats, instant messenger conversations, websites visited + More in total privacy. Find out the information you need to know quickly with the most intelligent remote spy software available RemoteSpy!

Unlike other spy software solutions, Remote Spy features innovative anti-detection routines and a firewall

RATED #1 SPY SOFTWARE

-- SECURITY --

Modem Hijacking

- 1997: Audiotex Connection, Inc (Modem Hijacking) (1997)
- 1998: Beylen Telecom, Ltd.
- Download: david.exe to view “free” images from adult entertainment website



Source: Royal Canadian Mounted Police

Source: <https://www.cnet.com/news/sex-sites-scam-big-bucks/>



“We’re talking about a
high-tech fraud that
threatens traffic on the
information
superhighway.”

ASUS tek (2016)



- Insecure Internet of Things
- Failure to mitigate disclosed vulnerabilities

Ashley Madison (2016)

- No information security policy
- No reasonable access controls
- No intrusion detection
- Fake profiles

TIME'S UP!

Avid Life Media has failed to take down Ashley Madison and Established Men. We have explained the fraud, deceit, and stupidity of ALM and their members. Now everyone gets to see their data.

Find someone you know in here? Keep in mind the site is a scam with thousands of fake female profiles. See ashley madison fake profile lawsuit; 90-95% of actual users are male. Chances are your man signed up on the world's biggest affair site, but never had one. He just tried to. If that distinction matters.

Find yourself in here? It was ALM that failed you and lied to you. Prosecute them and claim damages. Then move on with your life. Learn your lesson and make amends. Embarrassing now, but you'll get over it.

Any data not signed with key 6E50 3F39 BA6A EAAD D81D ECFF 2437 3CD5 74AB AA38 is fake.

[Impact Team's statement on the release](#)

[Impact Team's PGP signature for the released statement](#)

[Impact Team's PGP Key](#)

[Torrent for the released data](#)

[Back to Quantum Magazine](#)

-- PRIVACY --

Trans Union Corporation, Inc. (1993)

- Trans Union— consumer reporting database CRONUS
- Sold consumer credit data for marketing lists

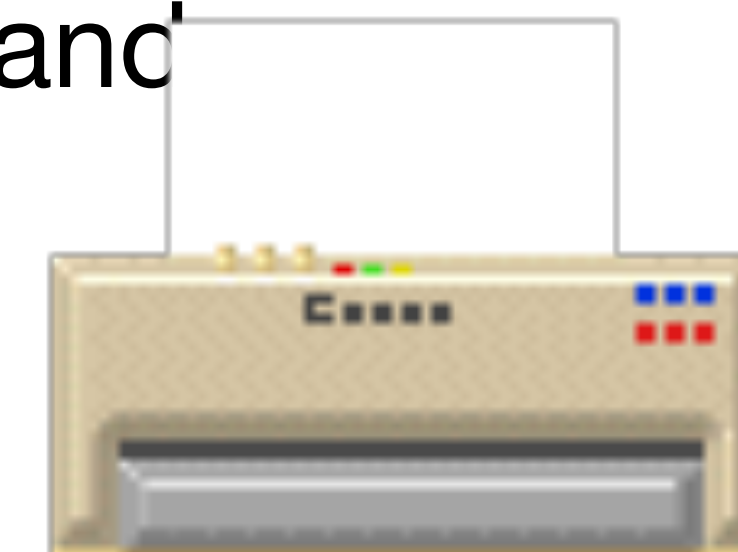
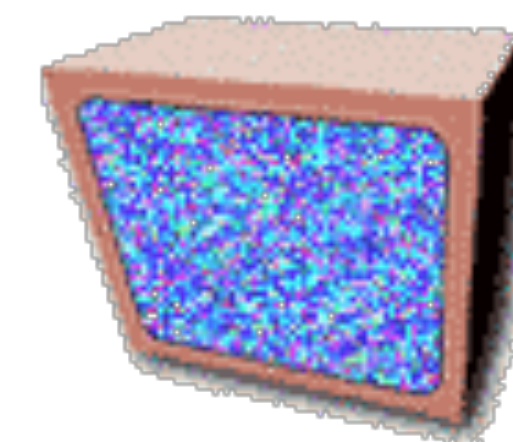




GeoCities (1999)



- Disclosure of PII of children & adults to third-party marketers.
- Told users optional info would not be disclosed to anyone, but disclosed anyways.
- GeoKidz Club run by third-party "community leaders" hosted on the GeoCities Web site, who collected and maintained the information.



InMobi (2016)



- Permissions? What permissions?
- Tracking consumer locations: wireless network location information to infer consumers' physical location
- Independent audit every 2 years for 20 years

VIZIO (2017)

The VIZIO Privacy Policy has changed. Smart Interactivity has been enabled on your TV, but you may disable it in the settings menu. See www.vizio.com/privacy for more details. This message will time out in 1 minute.

OK

February 2014

Select Reset & Admin in System to disable the collection and analysis of viewing history from this television ("Smart Interactivity").

New: Smart Interactivity may enable the delivery of tailored ads based upon viewing history to smartphones or other devices that share an IP address or other non-personal identifiers with the television.

Visit Vizio.com/privacy to learn more. See below for the Smart Interactivity supplement to the privacy policy.

Smart Interactivity supplement to the privacy policy

Smart Interactivity – Overview

Smart Interactivity is a feature on Internet-connected VIZIO televisions that recognizes onscreen content. Currently, we only use this feature to gather data on a non-personal or anonymous basis, as described below. You have the option to turn this feature off at anytime directly from the menu of your television.

However, in understanding this feature of your VIZIO television (and your option to disable this feature), we also

OK

March 2016

-- OTHER --

WORKSHOPS

- 1995 & 1996: Consumer Privacy on the Global Information Infrastructure:
 - Discussions on Data Security and Consumer Access & Cookies
- 2007: Behavioral Advertising
- 2009: Exploring Privacy: Privacy Roundtable Series
- 2015: Start with Security Series
- 2016: Fall Technology Series (Drones, SmartTVs & Ransomware)



FALL TECHNOLOGY SERIES

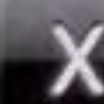
Smart TV

DECEMBER 7, 2016

SMART TVS

SMART HUB

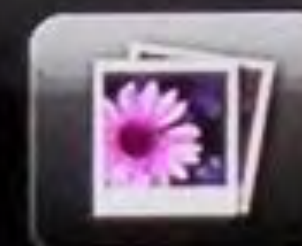
Search



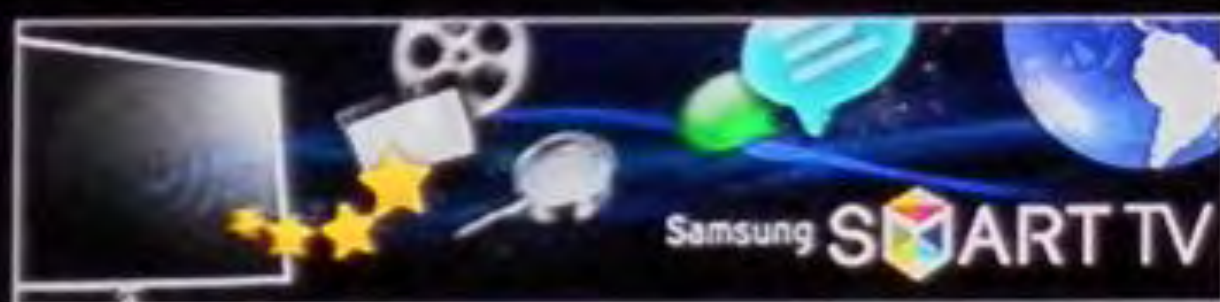
Your Video



Samsung Apps



Recommended



Samsung SP...



Facebook



Netflix



VUDU



Pandora



Hulu Plus



Twitter



CinemaNow



MemoryGame



Rovi TV Listings



Sudoku



Facebook



ESPN ScoreCenter



Skype



Netflix



Hulu Plus



Pandora

Login Sort by Edit Mode Settings

The harddisks of your computer have been encrypted with an military grade encryption algorithm. There is no way to restore your data without a special key. You can purchase this key on the darknet page shown in step 2.

To purchase your key and restore your data, please follow these three easy steps:

1. Download the Tor Browser at "<https://www.torproject.org/>". If you need help, please google for "access onion page".
2. Visit one of the following pages with the Tor Browser:

RANSOMWARE

<http://petya37h5tbhyvki.onion/P9UVR3>

<http://petya5koahtsf7sv.onion/P9UVR3>

3. Enter your personal decryption code there:

cdSPP4-JUZrRr-pMSxia-gXpmfB-vGWRf-FfMph1-XTUzUn-QmFeeV-ofb94y-HuScaa-rB1gmU-djYAEH-8WEakz-wrQ85W-BbsCzw

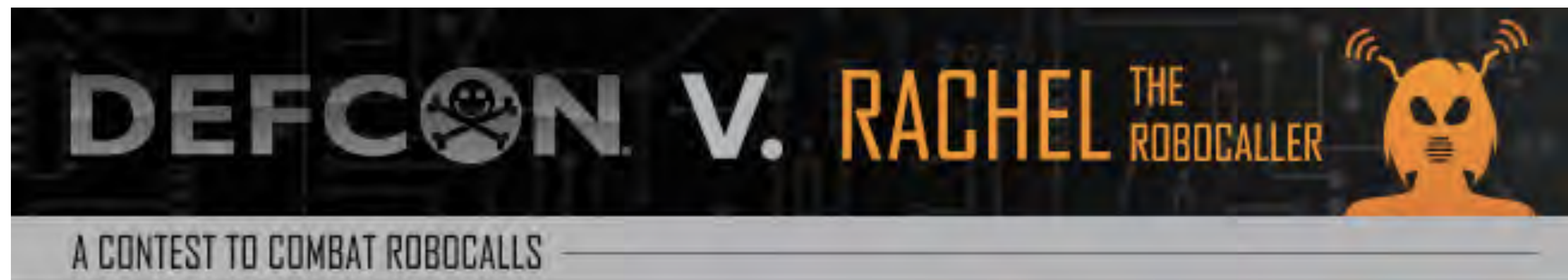
If you already purchased your key, please enter it below.

Key: 8x3qrMHjmkrN9jfd

Decrypting sector 83234 of 126464 (65%)

CONTESTS

- 2013: FTC Robocall Challenge
- 2014: Zapping Rachel (DEF CON 22)
- 2015: Robocalls: Humanity Strikes Back (DEF CON 23)



CONSUMER ED



- 1997: Kids Privacy Surf Day – pre-Children’s Online Privacy Protection Act
 - 86% of sites surveyed were collecting PII from children without parental approval
- 2002: Dewie the e-Turtle – Developing a “culture of security”
- 2006: Tech-ade (Report 2008)
- 2015: Start with Security



Site-Seeing

ON THE INTERNET



A publication from the Federal Trade Commission and the National Association of Attorneys General

THE SAVVY TRAVELER



Millions of people are traveling the [Internet](#)* (a.k.a. Cyberspace). And as going online gets easier and more affordable, even more will venture into [Cyberspace](#).

Because [Cyberspace](#) is an image on a computer screen, sometimes it is called a "virtual" world — not actually real. But travel anywhere has real risks and rewards. No matter where you go — even if you don't actually leave your home to get there — common sense and knowledge are your best travel companions.

The Federal Trade Commission and your state Attorney General offer this guide to help you prepare for your voyage and avoid fraud and deception enroute. We hope you'll share it with your family and especially with children, so that they will be savvy travelers when they visit [Cyberspace](#), too.

* Terms in [blue](#) in this booklet are defined on pages 5 and 6.

GETTING THE MOST FROM YOUR TRAVEL

Travel Tip:

- ▶ A little planning goes a long way on the [Internet](#). Try to identify the sites you want to visit or determine the subject areas you're interested in learning more about. It will help you save time, and if you pay for your [online service](#) by the hour, it will keep your charges under control.



bargain, purchase a book or CD, start a part-time business, or [e-mail](#) a letter to your far-flung family in a single step.

Books, articles, friends, and people you work with can steer you to many interesting [web sites](#). Once you're on the road, your own curiosity and interests will lead you to even more sites.

-- MENU --

WHAT IS THE FTC

LOOKING BACK

■ THE PRESENT

LOOKING FORWARD

Q&A

WORKSHOPS AND CONFERENCES



CONTESTS



-- HOW AND WHY THE FTC --
BRINGS CASES



FEDERAL TRADE COMMISSION
PROTECTING AMERICA'S CONSUMERS

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[NEWS & EVENTS](#)

[ENFORCEMENT](#)

[POLICY](#)

[TIPS & ADVICE](#)

[I WOULD LIKE TO...](#)



TAKE ACTION



File a Consumer Complaint



Report Identity Theft



Get Your Free Credit Report



Register for Do Not Call



Get Scam Alerts



VW / AUDI SETTLEMENT: CHECK TO SEE IF YOU ARE ELIGIBLE FOR COMPENSATION 2.0L OR 3.0L

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COMPETITION

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Viewers
Like You

-- MENU --

WHAT IS THE FTC
LOOKING BACK
THE PRESENT

■ LOOKING FORWARD

Q&A

SHARING RESEARCH WITH THE FTC

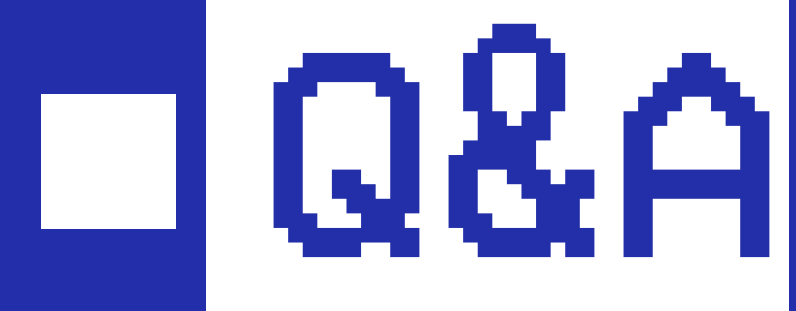
- Representations made to consumers
 - Screenshots of where you bought the device/software & those representations
 - Setup walkthrough (especially important for COPPA claims)
 - What did the consumer see? What was the consumer's experience?
 - What kind of claims were made in advertising?
- Vulnerability
 - What is it?
 - Who does it impact?
 - What kind of information is at risk?
- Impact
 - Be creative, but only provide reasonable impacts (don't oversell impact)
 - Vulnerability disclosure timeline & content (especially where you had hard time getting ahold of vendor)



research@ftc.gov

-- MENU --

WHAT IS THE FTC
LOOKING BACK
THE PRESENT
LOOKING FORWARD



STOP

SP

0:45:00

THANK YOU